

Guaranteed to Lose Money

This homework is a “closed book”, closed Internet, closed ChatGPT homework. You may use your class notes, class lecture notes, and assigned readings but no other materials.

This homework is due on May 9th at 4 PM

For whatever strange and peculiar reason (we won't judge!), you want to create a strategy that is guaranteed to lose money over the next nine months. Not to probably lose money but absolutely guaranteed to lose money. Not likely to lose money on average. But guaranteed to lose money over the next nine months. Your strategy cannot consist of only buying at the ask and selling at the bid or some other *obvious* way of throwing away money.

1. Please describe what investment process you would run to guarantee this result. Please be detailed and specific in your description.
2. Often when one a losing strategy (or a strategy has experienced negative returns), one wishes that they had just invested the opposite way – flipped the sign on their return forecast – that is the wish they had bought what they had sold, and sold what they had bought.

Would “flipping the sign” on the strategy you describe above produce you a guaranteed money making strategy? Explain why or why not.